Commentary
June 6, 2024

Belarus Promotes Economic Interests in Azerbaijan

Yauheni Preiherman

Originally published by the Eurasia Daily Monitor

Summary

From 15 to 17 May, Belarusian President Alyaksandr Lukashenka paid a state visit to Azerbaijan. Similar to his other foreign trips in recent years, the visit focused on Minsk's key international priority—promotion of its exports—and reflected the emphatically transactional, pragmatic nature of its diplomacy.

Baku has long been Minsk's key partner in the South Caucasus, though, unlike Armenia, Azerbaijan does not participate in the two most important integration groupings that Belarus takes part in—the Eurasian Economic Union and the Collective Security Treaty Organisation (CSTO). Intense bilateral communication and cooperation compensate for the lack of a multilateral agenda to such an extent that both countries emphatically identify their relations as "strategic". The president holds the dominant role in both countries' political systems. As a result, the strong personal chemistry between Belarusian President Alyaksandr Lukashenka and Azerbaijani President Ilham Aliyev appears to uphold the exceptionally close bilateral connections.

The exact origins of this special relationship are difficult to ascertain. One past interaction, however, reveals the leaders' degree of mutual trust. In June 2010, a price dispute between the Belarusian government and Russia's *Gazprom* quickly escalated into a crisis. *Gazprom* began to cut the amount of natural gas it exported to Belarus, demanding that Minsk urgently pay about $200 million in disputed debt or the supply of Russian gas would be terminated altogether. After initial attempts to reach a negotiated solution failed, Lukashenka said he had "requested help from friends" who lent him the money. Later, it was revealed that Aliyev was that friend and that Baku had provided an emergency 12-day loan, which allowed Minsk to pay back the debt and ensure the uninterrupted flow of Russian gas. In the Belarusian state media, that episode has become mythologized and is often referred to as evidence of the special connection.

> Another indication that the personal relationship between the presidents plays a central role in advancing Belarusian-Azerbaijani cooperation is that the countries' bilateral agenda had hardly existed before Aliyev ascended to power in 2003.

Revealingly, while Minsk and Baku established diplomatic relations in June 1993, they opened their respective embassies in each other's capitals only in 2006. The first presidential-level visits took place in 2006 and 2007 and have since happened somewhat regularly. Additionally, the most significant bilateral agreements were concluded after 2003. For example, in 2007, Minsk and Baku signed the Treaty on Friendship and Cooperation, and, in 2015, they put into effect the Agreement on Socio-Economic Cooperation until 2025.

For Baku, one sphere that has presumably stood out in relations with Belarus is military-technical cooperation. Over the past two decades, Azerbaijan has been one of the top buyers of Belarusian arms and weapon systems, both Soviet-era supplies and recently produced modern munitions. In 2002–12, according to the UN Register of Conventional Arms, Baku purchased from Belarus 153 T-72 tanks, 120 towed D-30 howitzers of 122-millimeter (mm) calibre, 12 self-propelled 2S7 "Pion" artillery units of 203-mm calibre, 60 BTR-70 armoured personnel carriers, and 11 Su-25 attack aircraft. Belarusian manufacturers also helped to modernize Azerbaijan's air defence systems.

From 2013 to 2015, Belarusian military exports to Azerbaijan decreased and then stopped entirely. In 2016, however, they started up again. The advanced *Palanez* Multiple Launch Rocket System (MLRS), jointly produced by Belarus and China, became the key item on Azerbaijan's military imports list from Minsk. At least ten systems were pre-paid and purchased.

Minsk's military-technical cooperation with Baku has long been subject to harsh criticism in Armenia, especially after Nikol Pashinyan became prime minister. As Armenia's CSTO ally, Belarus found itself in a rather uncomfortable position. Other CSTO member states—namely, Russia and Kazakhstan—also have strong ties with Azerbaijan, which Yerevan has long criticized. Minsk's special relationship with Azerbaijan, nevertheless, has remained intact, irrespective of Yerevan's denunciation. Still, Minsk has also tried to adhere publicly to a neutral diplomatic line regarding the conflict between Armenia and Azerbaijan.

Azerbaijan's military victories in recent years and the Pashinyan government's decision to suspend CSTO membership have eased the dilemma for Minsk, which Lukashenka's May visit to Azerbaijan revealed. After talks in Baku, both presidents took flights to

Karabakh, where they spent a day in the cities of Shusha and Fuzuli. Lukashenka spoke about the "most difficult task ahead for Azerbaijan"—to restore and repopulate the territories—and repeated many times that Belarusian construction and transport companies would happily provide their services "on friendly terms."

Similarly, during the formal talks in Baku, Lukashenka promoted Belarusian companies as potential contractors in Karabakh by asking Aliyev to "give some place for Belarus" in the government's reconstruction orders. According to the Azerbaijani president's press service, Aliyev reacted to the request positively. It remains to be seen what practical steps the two sides will take to implement the political agreements and how they will adapt the already existing road map for future economic cooperation. Minsk offered a list of economic spheres in which it could either supply Azerbaijan with increased volumes of exports or develop and expand joint production facilities. The Belarusian president stressed the prospects for the joint production of complex fertilizers (with the idea to send exports to countries such as Iran, Pakistan, and India), cargo and firefighting equipment, elevators, railway equipment, and medicines. He also suggested enhanced cooperation in the agricultural sector.

Both sides expressed hope that new projects would help to significantly increase their trade turnover, which climbed above $400 million in 2023 but stayed significantly below the record result of $885.5 million in 2021. Belarus's trade surplus of about $340 million in 2023 (exports grew by 77 percent year-on-year) appears to explain the heightened political interest in further intensifying cooperation with Azerbaijan.

> This surplus once again reveals the economic foundations of Belarus's diplomatic rationale.

That pragmatic rationale shapes Minsk's foreign policy decisions even in more geopolitically sensitive relationships. For instance, several days after he visited Azerbaijan, on 23 and 24 May, Lukashenka hosted Russian President Vladimir Putin for an official visit in Minsk. While international attention understandably focused on the military agenda of the Lukashenka-Putin talks, in the Belarusian government's eyes, they, too, had a predominantly economic dimension.

Yauheni Preiherman
Founder and Director